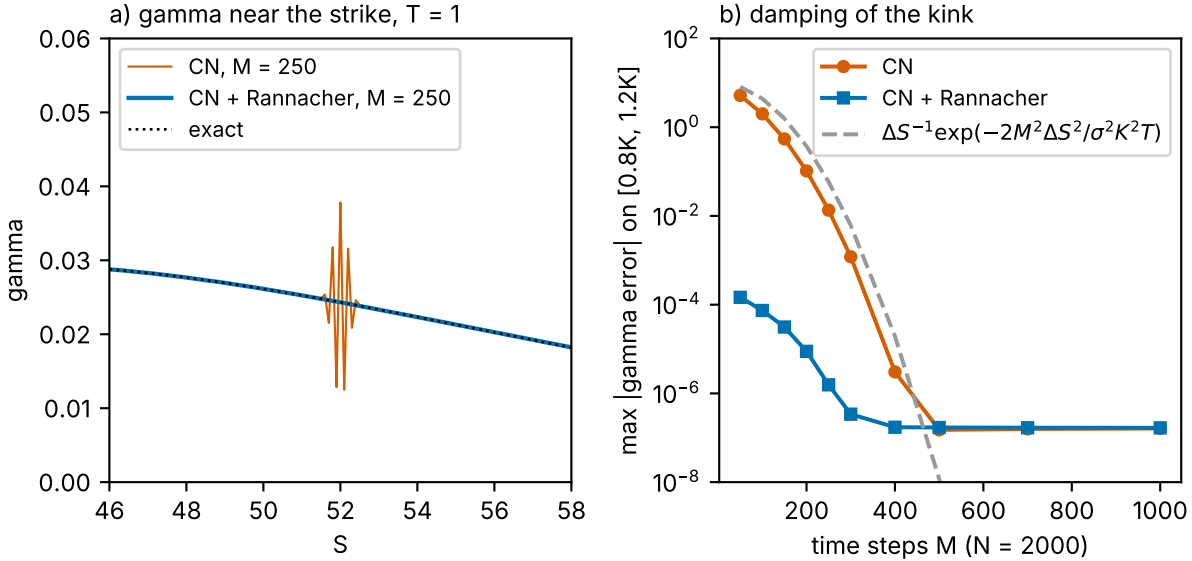
a) gamma near the strike, T = 1
CN, M = 250
CN + Rannacher, M = 250
exact
gamma
S
0.06
0.05
0.04
0.03
0.02
0.01
0.00
46
48
50
52
54
56
58
b) damping of the kink
CN
CN + Rannacher
$\Delta S^{-1}\exp(-2M^2\Delta S^2/\sigma^2K^2T)$
max |gamma error| on [0.8K, 1.2K]
time steps M (N = 2000)
10^{2}
10^{0}
10^{-2}
10^{-4}
10^{-6}
10^{-8}
200
400
600
800
1000